Wealth Glide Paths and Current Withdrawal Rates

First, let us return to a simple example using a fixed-return assumption. From 1926 through 2016, the compounded inflation-adjusted return for a 50/50 portfolio of the S&P 500 and intermediate-term government bonds was 5.1 percent. Using this as a fixed-return assumption for a thirty-year retirement period with the PMT formula, the sustainable initial spending rate is 6.3 percent. Subsequent spending from this base could be adjusted for inflation, and the portfolio would last for precisely thirty years.

Exhibit 3.1 shows the glide path for remaining wealth over the thirty-year retirement period for this spending strategy. It also shows the "current withdrawal rate" over these thirty years. This is worth emphasizing, as a common misconception about the "4 percent rule" is that it means you withdraw 4 percent of what remains each year. That is not what happens with a constant spending strategy.

The initial withdrawal rate is 6.3 percent in the exhibit, creating a baseline spending of $6.30 from a $100 initial portfolio. As retirement progresses, the inflation-adjusted withdrawal amount remains at $6.30. But the percentage of the remaining portfolio balance this represents will change as remaining wealth changes. In other words, the current withdrawal rate changes over time. In the exhibit, the wealth glide path shows a reduction in wealth over time, which increases the current withdrawal rate until it reaches 100 percent as the last of the wealth is spent in year thirty. In this example, the real portfolio value decreases throughout retirement, increasing the necessary withdrawal rate from what remains. Growing wealth, on the other hand, would allow the current withdrawal rate to decrease over time.

Exhibit 3.1

Wealth Glide Path and Current Withdrawal Rates over a 30-Year Retirement

For a 5.1% Real Return and 6.3% Initial Withdrawal Rate